
CZECH REPUBLIC

2014

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1. Overview of the tax-benefit system

Czech citizens are secured (protected) by three social security systems, i.e. by the social insurance, state social support and social assistance.

The social insurance system addresses such social circumstances as one may get prepared for in advance by depositing certain funds that will serve to solve future social situations. The system includes the unemployment insurance, sickness insurance and pension insurance. Social insurance is funded through contributions made by the employees and employers and by contributions from the state. The system is further complemented with the health insurance.

The state, through the state social support, contributes mainly to the families with dependent children who have encountered a recognised social situation, which the family is unable to manage using its own efforts and means. The system applies the solidarity principle between the high-income families and low-income families, as well as between the childless families and those with children. At assessing claims for the benefits, the family property is not tested, while the income is reviewed in case of certain benefits. The income is currently subject to examination for the purpose of claims for the child allowance, birth grant and housing allowance. The income is not examined for the purposes of the parental benefit and funeral grant. Foster care benefits create a separate benefit system; since 1st January 2013 they have ceased to be a component of the state social support system.

The state, through the social assistance (assistance in material need), provides assistance to persons or families that do not have sufficient income and their overall social and property relations prevent them from enjoying what the society accepts to be basic living requirements. At the same time, those persons are objectively unable to increase their income through one's own work, through the due application of entitlement and claims or through the sale or other disposal of one's own assets and thereby improving their situation through their own actions.

Living and subsistence minimums are stipulated by special legislation and represent a cornerstone in determining the claim on some benefits and their amounts. Child allowance and birth grant in the system of the state social support are based on the institute of living minimum, living and subsistence minimums exist as a criterion for allowance for living in the system of assistance in material need. Amounts of living minimum are different for single person, first adult in household, another adult in household and for children (three categories according to age) and ensure sustenance and other basic personal needs of the household members. The subsistence minimum, in addition to living minimum, ensures personal needs on surviving level (it contains sustenance and about 40 % of other basic personal needs in living minimum). Housing needs are solved separately, through housing allowance in the state social support system and supplement for housing in the system of assistance in material need.

In general, unemployed persons can receive unemployment benefits for a maximum period of 11 months.

The tax unit is an individual, since 2005 married couples with children are taxed either separately or jointly (using the income splitting method). When a flat rate of income tax (15 %) was introduced on 1st January 2008, this option became irrelevant. Deductible items for spouse under given income and tax credits for dependent children are administered.

1.1. *Average worker wage (AW)*

The 2014 AW earning level is estimated to be CZK 312084¹ (Secretariat Estimate).

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part 5, sections 2 and 3

2. Unemployment insurance

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Unemployment benefit (Podpora v nezaměstnanosti)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 12 months in 2 years
Waiting period (days)		0
Maximum duration (months)		11
Uprating mechanism of the benefit		Unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted.
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	65
	benefit at the end of legal entitlement period in % of calculation base	45
	Calculation base(1)	Net
	Permitted employment and disregards when receiving unemployment insurance benefit	Earnings of half the minimum wage are allowed; loose entitlement if earning more than that (entitlement to benefits are suspended during this period).
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: + with age
	family situation	0
	contract type	0
	other	0

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 2.1.1 for more details):

Program name (local name)		Unemployment benefit means test (Podpora v nezaměstnanosti)
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Unemployment insurance benefit recipient working half-time
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		Unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted
Benefit calculation	Income assessment unit	Net earnings
	(Maximum) benefit amount	In 2014, the maximum of unemployment benefit is CZK 14 281.
	Phase-in rate	--
	Phase-out rate	--

2.1 *Conditions for receipt*

The job seeker is not entitled to unemployment benefits if:

- The employment was terminated by the employer within the last 6 months before the job seeker was registered in database of jobseekers due to his/her breach of obligations arising from legal regulation pertinent to his/her job in an especially gross manner; the same shall apply if other employment relationships was terminated for similar reasons;

- The employment was terminated by the employer for breach of other obligation of an employee under the Labour Code in an especially gross manner in the last 6 months before his inclusion in register of job seekers;
- He/she has the right to a service rent pursuant to special legal regulations, where this would be higher than the unemployment benefits;
- He/she, as of the date for which the unemployment benefit is to be granted, performs activities on the basis of a work or service relationship, provided the monthly remuneration does not exceed half the minimum wage, or activities on the basis of an agreement for work performed outside a working relationship, provided that the monthly remuneration or average monthly remuneration for the time worked does not exceed half of minimum wage (the jobseeker is still kept in the registry and is, therefore, eligible to other means of assistance from the Labour Office, incl. payment of the social and health insurance contributions).

The obstacle for inclusion into the register of job seekers is if a natural person without giving a serious reason terminates of her/his own accord or under the agreement with an employer suitable employment mediated by the regional branch of the Labour Office, or if an employer terminates suitable employment with the natural person mediated by the regional branch of the Labour Office as a result of a breach of an obligation arising from legal regulations concerning the work performed in a gross manner.

The regional branch of the Labour Office shall decide to remove the job seeker from the register of job seekers e.g. if he/she without serious reason refuses to take up a suitable employment or refuses to commence an agreed retraining programme.

A job seeker is entitled to unemployment benefit if he/she has: a) gained 12 months of insurance within the pension scheme on the basis of his/her employment or self-employment in the last 2 years preceding the registration; b) applied for the unemployment benefit at the Labour Office of the Czech Republic (hereinafter referred to as “the Labour Office”) while being registered as a job seeker; c) is not a recipient of an retirement pension on the day on which the unemployment benefit is due to be approved. The Labour Office shall decide whether to provide unemployment benefit.

There are activities considered by law as a substitute period of employment while assessing the entitlement to unemployment benefit:

- a) Preparation of disabled persons for work (a part of work rehabilitation process – Section 72 of Act on Employment);
- b) Receiving pension for disability of third grade;
- c) Personal care of a child under the age of 4;
- d) Personal care of a natural person who is, under the terms of a special legal regulation, deemed to be a person dependent on the assistance of another natural person classified as grade II (moderate dependence), grade III (severe dependence) or grade IV (total dependence), provided he permanently resides with the job seeker and they both contribute to their common needs; these conditions shall not be required if this person is deemed to be a “close person” for the purposes of pension insurance;
- e) Long-term voluntary service exceeding an average of at least 20 hours in a calendar week on the basis of a volunteer contract from the posting organization which was accredited by the Ministry of the Interior, or a public works service exceeding an average of at least 20 hours in a calendar week on the basis of a contract;
- f) Personal care of a person under the age of 10 who is, under the terms of a special legal regulation, deemed to be a person dependent as grade I.

2.1.1 *Employment conditions*

Since 1 October 2004, when the new Employment Act came into force, the entitlement to unemployment benefits has been based on the period of contributions on employment policy, which is a mandatory contribution dedicated from monthly salary (1,2 % from salary expenses, see section 10.3).

2.1.2 *Contribution conditions*

Job or self-employment activity, on the basis of which there is gained 12 months of insurance within the pension scheme in the last 2 years preceding the registration .

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

From 1st January 2009 till January 2011: 65 % in the first two months, 50% in the following two months and 45 % in the remaining months of supporting period of last earned income net of tax and social security contributions; however, the unemployment benefit is capped at amount equal to 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted (in 2014 CZK 14 281).

Since 1st January 2011: In case the jobseeker quits him/herself a job without serious reason or agreed on job termination with his/her employer preceding his/her Labour Office registration, the unemployment benefit amounts to 45% of average monthly net wage for the duration of the benefit period (compared with 65% for the first two months, 50% in the following 2 months and 45% in the remaining months).

2.2.2 *Income and earnings disregards*

From 1st January 2011: The job seeker is allowed to earn half of the minimum wage in a month, however, he/she loses the entitlement to draw unemployment benefits during this time of employment. The monthly minimum wage had been CZK 8500 since 1st August 2013 and increased to CZK 9200 on 1st January 2015.

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

2.4 *Benefit duration*

The support period is:

- a) 5 months for job seekers under 50 years;
- b) 8 months for job seekers between 50 – 55 years;
- c) 11 months for job seekers over 55 years.

The unemployment benefits are not provided to job seekers mentioned in section 2.1.

A job seeker who has exhausted the entire period of support in the past 2 years before being included in the register of job seekers, has the right to receive unemployment benefit for the new whole support period if

he/she, after exhausting this period, started to work or entered into gainful activity involving the obligation to pay premiums for pension insurance for a period of at least 6 months.

This period of 6 months shall not be required in cases when the job seeker terminated the employment or gainful activity for health reasons or for reasons set forth in a special legal regulation (e.g. termination of employment due to layoffs etc.) or because the employer breached a fundamental obligation arising from legal regulations, a collective agreement or agreed working conditions. At the same time, the condition concerning the entire period of previous employment must be complied with – see 2.1.2.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment as regards providing of unemployment benefits.

2.5.2 *Older workers*

See section 2.4

2.5.3 *Others if applicable*

Disabled people are entitled to retraining allowance, providing they attend a retraining course as a part of work rehabilitation (according to Employment Act), regardless whether they are registered or not as jobseekers.

3. Unemployment assistance

Job seeker is also entitled to participate in retraining courses and benefit from retraining allowance.

3.1 Conditions for receipt

The recipient has to be registered as a job seeker (see section 2.1). The entitlement to retraining allowance can be claimed by a job seeker who attends a retraining course provided by the regional branch of Labour Office and is not, as of the date, as of which the retraining allowance is to be granted, a beneficiary of an old-age pension.

The regional branch of the Labour Office shall decide to award a retraining allowance which is provided for the entire period of the retraining course. The retraining allowance shall not be paid to job seekers during the provision of an old-age pension, during the provision of sick pay (sickness insurance payments) and during detention.

There is an exception in case of people with disabilities. A disabled person who does not receive sick payments, old age pension or wages/salary or replacement wages/salary for involvement in preparing to work is entitled for retraining allowance on the basis of the decision of the regional branch of the Labour Office. This person is entitled to retraining allowance even if he/she is not listed in the register of job seekers.

3.1.1 Employment conditions

Same as 2.1.1.

3.1.2 Contribution conditions

Same as 2.1.2.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

During the period of retraining the job seeker engaged in retraining receives 60 % of last earned income net of tax and social security contributions; the maximum rate of retraining allowance is set at 0.65 times the average national wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining (in 2014 CZK 16 005). In case the job seekers are not entitled to regular retraining allowance the allowance shall be set at 0.14 times the national average wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining course.

3.2.2 Income and earnings disregards

A job seeker is allowed to earn half of the minimum wage in a month without losing the entitlement to the benefit only during retraining ("retraining benefit"). The monthly minimum wage had been CZK 8500 since 1st August 2013 and increased to CZK 9200 on 1st January 2015.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

3.4 *Benefit duration*

The benefit during retraining is provided for the whole period of retraining. Any time when the job seeker undergoes the retraining, she/he is granted the retraining benefit.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

No special treatment as regards retraining benefits.

3.5.2 *Older workers*

No special treatment as regards retraining benefits.

3.5.3 *Others if applicable*

A disabled person is entitled to the retraining benefit during the period of his/her vocational training, even if he/she is not registered as a job seeker.

4. Social assistance

The purpose of social assistance is to prevent social exclusion and deprivation. The state, through social assistance, provides assistance to citizens who need such it because of their state of health or their age, who are unable to overcome a difficult life situation or adverse circumstances without help from the state, to persons whose subsistence needs are not sufficiently covered by income from a gainful occupation, pension or sickness insurance benefits, or by other income.

Social assistance includes social services and cash benefits (benefits in material need, benefits for people with disabilities, care allowance). The Assistance in Material Need Act² lays down the situations of inadequate means of subsistence or housing, and defines emergencies, all of which are known as cases of material need. Those are basically situations where a person or jointly assessed persons do not have sufficient income and their overall social and financial situation prevents them from enjoying basic living standard. At the same time, these persons are objectively unable to increase their income. The Assistance in Material Need Act also deals with certain special circumstances in life that can only be resolved by immediate assistance.

Payment rates, durations or aspects of means testing of social assistance benefits do not depend on the age of the claimant or his/her family member.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Assistance in Material Need (Pomoc v hmotné nouzi)
Age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed(1)	Yes
	Participation in integration measures	Yes
	Active job search(1)	Yes
	Work requirement(1)	if requested have to take up short-term employment, participate in public works or public works service
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	--
	Legal behavioural requirements for adult family members other than the benefit claimant	work availability and job search requirements apply to all members of the household except for old age and invalidity pensioners, persons over 68, parents caring for children, careers of care-dependent person, persons who are temporary sick
Determination of benefit levels		National
Upgrading mechanism of the benefit		The Government is authorized to increase the

² Act no.111/2006 Coll., On Assistance in Material Need, as amended.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

		calculation base for the system of assistance in material need (amounts of living minimum and subsistence minimum) on January 1 each year if the growth of consumer price index for sustenance and personal needs exceeds 5%. In case of extraordinary circumstances the amounts can be indexed sooner. Last adjustment on January 1, 2012.
Other supplements to basic benefit (per family)		None
Means-test for social assistance	Earnings disregards	30% of work income disregarded (20% of unemployment insurance benefit and sickness benefits)
	Benefit withdrawal rate with regard to earned income	70% on Net Earnings, 80% on Unemployment Benefit income
	Assets included in means test?	Yes
	Other benefits included in the means test	Yes
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	+ for spouse, proportional addition for each child increasing with child age
	over time	0
	other	--

Notes:

1. Conditions for healthy working-age individuals.

Overview of employment-conditional benefits within the social assistance scheme (see Section 4.1 for more details):

Program name (local name)		Assistance in Material Need (the same system as above) Pomoc v hmotné nouzi
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Working social assistance benefit recipient working
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	Yes
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Uprating mechanism of the benefit		See previous table
Benefit calculation	Income assessment unit	Net earnings
	(Maximum) benefit amount	30% of work income are disregarded in means test
	Phase-in rate	--
	Phase-out rate	--

4.1 Conditions for receipt

Benefits of assistance in material need are means-tested. Means (property, income etc.) of all household members - jointly assessed persons - are taken into account.

Allowance for living is provided to a person or a family with insufficient income to ensure basic needs (except for needs related to housing) and these persons are not able to increase it due to objective reasons. Persons in material need are entitled to the allowance for living if their income or the income of the jointly assessed persons is lower than the amount of living.

Supplement for housing is provided to a person or a family in case of insufficient income to cover reasonable housing costs. A precondition of an entitlement to a supplement for housing is the existence of an entitlement to allowance for living and an entitlement to a housing allowance from the system of state social support. A supplement for housing may be granted (with consideration for the overall social and financial status) to persons who have not been granted the above- mentioned benefits.

Extraordinary immediate assistance is provided in adverse or exceptional situations where persons are not in material need but it would be advisable to provide them with assistance per saltum.

To become eligible to benefits in material need the conditions are: residence, impossibility to increase one's own income by using own efforts, in particular by gainful activities, through due application of entitlements and claims, through the sale or other disposal of the persons' property to remedy his or her present situation. In case of unemployment, the unemployed person has to be registered as a job seeker, be active in job search and accept an offered job or participation in an active employment policy programmes (unless having a serious reason to refuse it) and upon request take up short-term employment or participate in public works or public works service. Effort to obtain income through working is not required from old age and invalidity pensioners, persons over 68, dependent children, parents caring for children, careers of care-dependent person, and persons who are temporary sick, meeting other prescribed conditions. In case of family with children, proper compulsory school attendance of children is demanded.

Assistance in material need benefits can be received at the same time as other benefit (unemployment benefits, family benefits, and benefits for people with disabilities or care allowance).

Benefits are designed to motivate people to find work and take on any job, and even a part-time or lower paid job. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working: incomes from gainful activities are calculated for in part only (70 % in the case of income from employment, 80 % in the case of sickness insurance and unemployment benefits). On the other hand, recipients who do not collaborate e.g. in job-search receive lower benefits.

Care allowance

The care allowance (hereafter the "allowance") is provided to persons who are due to their long term unfavourable health condition dependent on another person's assistance when dealing with basic living needs reflected in the International Classification of Functioning, Disability and Health.

There are 4 levels of dependence:

- a) Grade I (slight dependence);
- b) Grade II (medium-heavy dependence);
- c) Grade III (heavy dependence);
- d) Grade IV (total dependence).

When determining the level of dependence, the ability to manage the following 10 basic needs is evaluated: mobility, orientation, communication, self-feeding, putting on clothes and footwear, washing oneself, toileting, looking after one's health, personal activities, household tasks.

The allowance provided to persons below 18 years of age in a calendar month is:

- a) CZK 3 000, in the case of grade I (slight dependence),
- b) CZK 6 000, in the case of grade II (medium-heavy dependence),
- c) CZK 9 000, in the case of grade III (heavy dependence),
- d) CZK 12 000, in the case of grade IV (total dependence).

Children under one year of age are not entitled to the allowance.

The allowance provided to persons over 18 years of age in a calendar month is:

- a) CZK 800, in the case of grade I (slight dependence),
- b) CZK 4 000, in the case of grade II (medium-heavy dependence),
- c) CZK 8 000, in the case of grade III (heavy dependence),
- d) CZK 12 000, in the case of grade IV (total dependence).

The allowance is increased by CZK 2 000 for recipients who are dependent children below 18 years of age and parent of dependent children below 18 years of age if the income of the family is under 2.0 family's living minimum. The allowance is also increased by CZK 2 000 for recipients who are children from 4 to 7 years of age in grade III or IV.

4.2 Calculation of benefit amount in the system of assistance in material need

4.2.1 Calculation of gross benefit

The amount of the allowance for living is set as the difference between the amount of living of a person/jointly assessed persons and the income of that person/ jointly assessed persons less reasonable housing costs. The amount of living of a person/ jointly assessed persons is determined with regard to income, the opportunities to increase this income, financial status and other circumstances (e.g. costly dietary requirements,). The amount of living is derived from the living minimum and subsistence minimum and is set on a case-by-case basis based on an evaluation of the person's efforts, opportunities and needs.

The amount of the supplement for housing is calculated in such a manner that the amount by which the income of the relevant person/jointly assessed persons (including any disbursed allowance for living) exceeds the amount of living of that person/jointly assessed persons is deducted from the amount of reasonable housing costs in a given calendar month (reduced by the housing allowance from the system of state social support for the previous calendar month). Reasonable housing costs include rent (up to the local normal/common amount or the limit stipulated by law³), services related to housing, energy costs.

Living minimum – monthly amounts:

single:	CZK 3 410
first person in household:	CZK 3 140
second and other persons who are not a dependant child:	CZK 2 830
dependant child	
• under 6 years:	CZK 1 740
• 6 - 15 years:	CZK 2 140
• 15 - 26 years:	CZK 2 450

Subsistence minimum – monthly amount:	CZK 2 200
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The necessary costs of housing are not included in the sums of living minimum and subsistence minimum since 01.01.2007.

The Government is authorized to increase the amounts of living minimum and subsistence minimum on January 1 each year if the growth of consumer price index for sustenance and personal needs exceeds 5%. In case of extraordinary circumstances the amounts can be indexed sooner.

³ Act no.107/2006 Coll., On One-side Rise in Rent from Apartment, as amended.

Examples of living minimum for:

Single person household:
CZK 3 410

One adult with one child aged 7 years:
 $3\,140 + 2\,140 = \text{CZK } 5\,280$

Two adults and two children aged 5 and 11 years:
 $3\,140 + 2\,830 + 1\,740 + 2\,140 = \text{CZK } 9\,850$.

Subsistence minimum (instead of living minimum) is used for calculation of allowance for living for adult person as a "sanction" for not meeting certain conditions prescribed by the Act⁴.

4.2.1.1 Irregular additional payments

Extraordinary immediate assistance is provided to persons who find themselves in situations that have to be resolved immediately. The Act addresses six situations that justify these additional benefits:

- Where persons, due to a lack of funds, face a serious threat to their health. The benefit tops up a person's income so that it is level with the subsistence minimum (or the living minimum in cases of dependent children).
- Where persons are victims of a serious extraordinary event (a natural disaster, storms and gales, ecological disaster, fire, etc.) The maximum amount of the benefit is 15 times the individual's living minimum, i.e. up to CZK 51 150.
- Where persons do not have sufficient resources to cover essential one-off expenditure connected, in particular, with the payment of an administrative fee for duplicate copies of personal documents or in cases of monetary loss. The maximum amount of the benefit is the amount of this one-off expenditure.
- Where persons do not have sufficient resources to acquire or repair basic furniture or. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed ten times the individual's living minimum in one calendar year, i.e. to an amount of CZK 34 100.
- Where persons do not have sufficient resources to cover justified costs relating to the education or special interests of dependent children or ensuring necessary activities of social and legal protection of children. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed 10 times the individual's living minimum in one calendar year, i.e. to an amount of CZK 34 100.
- Where persons are at risk of social exclusion. This concerns, for example, the situation of persons who have been released from custody or from prison, who have left an orphanage or foster care on reaching adulthood, or who have completed treatment for an addiction. A benefit of up to CZK 1 000 CZK may be granted. The benefit may be awarded repeatedly, but the sum of benefits granted in one calendar year may not exceed four times the individual's living minimum, i.e. the amount of CZK 13,640.

⁴ Act no.111/2006 Coll., On Assistance in Material Need, as amended.

4.2.1.2 *Obligations of family members*

Assistance in material need is based on a concept of jointly assessed persons. Relevant work-availability or job-search requirements must be met by all members of the household, provided they are not old age and invalidity pensioners, persons over 65, dependent children, students, parents caring for children, careers of care-dependent person, persons who are temporary sick etc. If the person considered as capable of work does not comply with prescribed conditions of employment activity the amount of allowance of living (calculated for the entire household) is reduced.

The entitlement to unemployment benefits relates strictly to a job seeker himself/herself – it means that this entitlement can be affected only if the job seeker himself/herself does not comply with the legal job search or work-availability conditions; non-compliance on the side of his family members can affect only the personal entitlements of those members but not the entitlement of the job seeker himself/herself.

In general, assistance in material need is based on a concept of jointly assessed persons and benefits of assistance in material need are designed to motivate people to work. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working. Recipients who do not collaborate e.g. in job-search receive lower benefits.

Unemployed persons have to be registered as job seekers, be active in job search and accept an offered job (and even a part-time or lower paid job) or participation in an active employment policy programmes and upon request take up short-term employment or participate in public works or public works service. Provided that persons do not fulfil these conditions, they are not deemed to be persons in material need. Relevant work-availability or job-search conditions are not required from old age and disability pensioners, persons over 68, dependent children, parents caring for children (when receiving maternity benefit or parental allowance), careers of care-dependent person, persons who are temporary sick, etc.

With a certain simplification: if the family member considered as capable of work does not comply with prescribed conditions of employment activity she/he is not treated as a person in material need. When calculating allowance for living for the entire family, income (possible income) of this person is included in income of the family decisive for benefit's entitlement but as she/he is not deemed to be a person in material need her/his amount of living is not taking into account and the total amount of allowance for living is reduced by the amount of living of the family member not complying with job search or work-ability conditions.

This rule was introduced by the Act of Assistance in Material Need and has been applied since 2007. Under the previous legislation (Act on Social Neediness), similar situations were solved in different manner. If the family member (one of jointly assessed persons) did not meet the prescribed conditions the benefit of social assistance due to social neediness was not given to the whole family at all.

4.2.2 *Income and earnings disregards*

See above-mentioned conditions for receipt.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Benefits in material need and benefits for people with disabilities can be received at the same time as in-work earnings and any other benefit.

4.4 *Benefit duration*

Benefits of assistance in material need are provided as long as the given conditions are fulfilled. Persons can apply or re-apply for benefits always when they have not sufficient resources for living and the office has to accept and to judge their application.

4.5 *Treatment of particular groups*

In general, benefits in material need have no special treatment as regards particular groups. But for certain persons (see section 4.1) less strict conditions are applicable.

4.5.1 *Young persons*

In the case of dependent children, the living minimum must be used as a base for calculation of benefit amount.

4.5.2 *Older workers*

None.

4.5.3 *Other if applicable*

In the new system of benefits for people with disabilities (efficient since January 2012) two financial benefits aimed at reduction of social consequences of disability and supporting of social inclusion are provided:

- recurrent obligatory allowance for mobility at the monthly amount of CZK 400 for people who are not able to cope with basic living needs in the field of mobility and orientation;
- one-off obligatory grant for special aid for people with severe disabilities of support and motion apparatus, blind and deaf enabling self-reliance, working activities, education, social contacts, buying or modification of a motor vehicle, adjustment of a flat.

5. Housing Benefits

Overview of housing benefits (for greater detail refer to Chapter 5):

Regular housing benefits	Program name (local name)		Housing allowance (Příspěvek na bydlení)
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	Indirectly. Prescriptive housing costs used as maximum housing costs are based on floor space per person.
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		difference between the maximum reference housing costs and the household's reference income multiplied by a coefficient
	Uprating mechanism of the benefit		Prescriptive housing costs are stipulated by law for each year according to actual development of prices in housing sector (rent, energy, services etc.)
Housing related support through other benefits			Supplement for housing for social assistance recipients,

5.1 Conditions for receipt

Housing allowance is a recurrent, income-tested benefit; income in the previous calendar quarter is tested. The housing allowance is designed to assist low-income families and individuals to cover expenditure connected with housing. The allowance does not cover the whole housing costs; it only makes a contribution to the coverage of housing costs. Housing benefits are granted irrespective of the type of housing. The actual costs of housing paid in the previous calendar quarter are taken into account. Property owners or tenants registered as permanently resident in that property are entitled to a housing allowance if 30 % (in Prague 35 %) of household income is insufficient to cover housing costs and at the same time that 30 % (in Prague 35 %) of household income is lower than the relevant prescriptive costs. A period of benefit's payment is limited to 84 months during the last 10 calendar years. An exception applies to households exclusively consisting of people over 70 years and disabled persons living in flats adjusted for them.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The amount of housing benefit for a calendar month is calculated as the difference between the prescriptive housing costs and the household's decisive income multiplied by a coefficient of 0.30 (0.35 in Prague). Actual housing cost will be used for the calculation of housing benefits, in case actual costs of housing are lower than prescriptive housing costs.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Prescriptive housing costs are differentiated according to type of housing (tenement, cooperative, private), size of municipality (5 categories), number of persons in a household. Amounts of prescriptive housing costs are set by law⁵ and they are valid for one calendar year.

Prescriptive housing costs for rental units in CZK					
Valid from January 1, 2014 to December 31, 2014					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	7 711	6 156	5 873	5 028	4 809
2	11 081	8 952	8 566	7 409	7 110
3	15 096	12 312	11 807	10 294	9 903
4+	18 899	15 542	14 932	13 108	12 636

Prescriptive housing costs for cooperative and private units in CZK					
Valid from January 1, 2014 to December 31, 2014					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	4 448	4 448	4 448	4 448	4 448
2	6 644	6 644	6 644	6 644	6 644
3	9 263	9 263	9 263	9 263	9 263
4+	11 792	11 792	11 792	11 792	11 792

Decisive income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purposes of the housing allowance calculation, the decisive income includes parental allowance and child allowance. If the decisive income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

Housing allowance belongs to state social support, it is not a part of assistance in material need. But: a precondition of an entitlement to a supplement for housing from assistance in material need is the existence of an entitlement to a housing allowance from the system of state social support.

⁵ Act no. 117/1995 Coll., On State Social Support, as amended.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5.2.2 *Income and earnings disregards*

See above.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Housing allowance can be received at the same time as in-work earnings and any other benefit.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable*

None.

6. Family benefits

Family benefits (State social support system) consist of:

- a) The benefits related to family income⁶ (child allowance (in section 6), birth grant).
- b) The benefits provided irrespective of income (parental allowance (in section 7.2), funeral grant).

Overview of family and lone parent benefits (for greater detail refer to Chapters 6 and 8):

Program name (local name)			Child allowance (Přídavek na dítě)
Type of benefit			targetted
Eligibility criteria	Age limits for children (in parentheses if student)		14 (25)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		None?
Uprating mechanism of the benefit			No
Benefit amount	Benefit amount per child varies with (where +: increase; - : decrease; 0: no change; +/-: decrease or increase)(1)	Age of child	+
		Number of children	0
Means test	Earnings part of means test?		Yes
	Earnings disregard		none
	Withdrawal rate of the benefit		Complete withdrawal beyond income threshold
	Assets part of means test?		No

Notes:

1. +: increase; -: decrease; 0: no change; +/-: decrease or increase "+/-": increases or decreases apply to countries that give higher rates to the youngest and oldest age groups.

⁶ Income which is taken into account for decisions on entitlement to State social support allowances includes income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income derived from property, etc., and also sickness and unemployment benefits and pensions, including similar income from abroad. The bulk of the income, which is taken into account for the purpose of these allowances, is defined by the income text legislation. Taken into account is net income after deduction of expenses incurred in generating and maintaining that income, and after deduction of income tax, social insurance contributions, contributions towards the State employment policy and towards health insurance.

6.1 *Conditions for receipt*

Child allowance is the basic income-tested benefit provided to a dependent child with the objective to contribute to the coverage of costs incurred in his upbringing and sustenance. For purposes of family benefits, dependent child is a child up to the age of compulsory school attendance (under 15 years) and further if the child systematically prepares for future occupation (in full-time education at secondary school and university) or is not able to prepare for future occupation due to health reasons or is not able to work due to disability, but maximum up to the age of 26 years. Entitlement to the *child allowance* is bound with certain income criteria. Income of the family in the previous calendar year must be under 2.4 family's living minimum (for amounts of living minimum see tables in the social assistance section).

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Child allowance is provided at three levels depending on the age of the child.

Amount of child allowance according to the child's age (in CZK per month) in 2014

Age of the Dependent Child	Monthly Amount of Child Allowance
under 6 years	500
6-15 years	610
15-26 years	700

6.2.1.1 *Irregular additional payments*

None

6.2.2 *Income and earnings disregards*

See above.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Child allowance can be received at the same time as any other benefit or in-work income.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

None.

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

Note: Social allowance, which was mentioned in earlier Tax and Benefits Surveys, has been abolished fully since 2012.

Families with dependent children are supported also by means of tax credits. All households having taxable income receive tax credit for every dependent child. See Section 10.1.1 for details.

7. Childcare for Pre-school children

According the type of founder, pre-school care facilities are divided into public (established by state, regions, municipalities or association of municipalities) and private (established by a church body or church society which are entitled to found religious school facilities and by legal or natural persons). Among public facilities there are crèches and kindergartens.

Crèches are childcare facilities for children usually up to 3 years of age. According to Health Service Act No. 372/2011 Coll. which entered into force in April 2012, crèches will cease to exist as a healthcare facility at the end of December 2013. The aim of these legislative changes was to comply with the fact that ensuring general development of healthy children up to 3 years of age does not need to be provided as a health facility. Future solution is under the full responsibility of the existing operators. Components of private facilities are running within professional trade “securing childcare for children up to 3 years of age” and two trades concerning childcare for children over 3 years of age and then “parent centres” (citizen associations or public benefit associations) that are attended by small children with their parents. According to Ministry of Industry and Trade, there were 1284 licences for securing childcare for children under 3 years of age registered, in September 2013.

Kindergartens are facilities for children from 3 to 6 years of age. In the academic year 2012/2013, there were 354 340 children of 3 – 6 years in 5 011 kindergartens (current law considers this preschool education as facultative).

There are special kindergartens for physically and mentally handicapped or socially disadvantaged children. Components of private facilities are running professional trade “securing childcare for children up to 3 years of age” and two trades concerning childcare for children over 3 years of age and then “parent centres” (citizen associations or public benefit associations) that are attended by small children with their parents. The highest percentage of children is in the last year of kindergarten which is, in fact, preparation for new requirements in primary school. According to Ministry of Industry and Trade, there were 880 licences for securing childcare for children under 3 years of age registered on 31st March 2012.

Participation rate in pre-primary education

Child's age	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13
Under 3 years	25,30%	26,50%	25,40%	23,00%	23,00%	24,80%	26,80%	27,50%	24,40 %	26,8 %
3 years	80,00%	77,30%	74,60%	76,60%	75,30%	76,50%	76,40%	75,80%	76,70%	75,3 %
4 years	94,40%	94,20%	90,00%	90,70%	90,90%	89,40%	88,50%	86,90%	86,50%	86,9 %
5 years	96,00%	96,40%	95,80%	93,70%	93,20%	92,80%	91,70%	91,40%	90,60%	88,2 %
6 years	25,00%	23,80%	22,70%	22,30%	21,60%	21,00%	20,70%	20,50%	20,50%	18 %
Over 6 years	-	-	0,50%	0,50%	0,50%	0,50%	0,50%	0,50%	0,50 %	0,30 %

Source: Institute for Information on Education

„Category under 3 years of age“ – Out of 26 % of children who attend daily care facilities for children under 3 years of age only 1-2 % of these children attend special care facilities for children under 3 years of age, 25 % of children between 2 – 3 years of age attend daily care facilities for children over 3 years which are not specialized in such small children. In the 1990s, there was a wholesale close down of care facilities

for children under 3 years of age in the Czech Republic: from 1 043 of crèches in 1990 to 44 crèches in 2012. Those facilities were closed down without adequate compensation. This measure was accompanied by support of domestic care for small children by their parent. The reason was interest in child health protection. The capacity of childcare facilities for small children is insufficient in the Czech Republic at the present time and moreover crèches will no longer exist as a healthcare facility.

According to the Education Act No. 561/2004 Coll. §36 compulsory school attendance shall start at the beginning of the school year following the date when a child reaches six (6) years of age, unless he/she is permitted postponement. A child who reaches six years of age at the period between the beginning of a relevant school year and the end of the calendar year may be admitted to compulsory school attendance in the school year concerned if such a child is physically as well as mentally adequately mature and if his/her statutory representative requests so (the school admittance is in this case assessed also by a school advisory centre; should the child be born between January and June the admittance statement contains also assessment by a school advisory centre and a doctor).

The statutory representative of a child shall be obliged to register the child for compulsory school attendance from 15th January until 15th February of the calendar year during which the child should begin compulsory school attendance.

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

The fees in a crèche depend on decisions of the founders and could be within the range from CZK 1 000 to CZK 7 000 per month. The founder has also the right to decide on reducing monthly payments for specific groups of parents – like unemployed, students and single parents. In case of private crèche the fee could be within the range from CZK 5 000 to 18 000 per month (or CZK 660 per day).

Regulation No. 14/2005 Coll. of the Ministry of Education, Youth and Sports on pre-school education, which has been valid since 2005, sets that pre-school education of a child in kindergarten is composed of basic fee adjusted in the relevant calendar year by possible fee reduction. The basic fee is set on accepting the child to the kindergarten and by 1 September of the preceding calendar year.

According to this Regulation the basic fee shall be set in such a way as not to exceed 50 % of the real average non-investment costs per child per month in the past calendar year with the exception of expenses on salaries, reimbursements for salaries, or wages and reimbursements for wages, bonuses for work readiness, bonuses for work done on the basis of contract for work outside of employment and compensation, social security insurance and state employment policy contribution and health insurance, contributions to funds of cultural and social needs and other expenses emerging from industrial relations, on necessary increase in costs associated with education of disabled children, on school equipment and also expenses on further education of pedagogical staff, on activities that are directly connected to school development and education quality, which are provided from the state budget. The basic fee shall be set for the period from 1 September to 31 August of the following school year at the same amount for all children in the relevant kindergarten. Exempt from the fee is a statutory representative of a child who receives benefits of assistance in material need and natural person who personally takes care of the child and receives foster care allowances and proves this fact to the head of the kindergarten.

The basic fee might be reduced to 2/3 of the daily rate for a statutory representative whose child attends the kindergarten 4 hours per day on the grounds of reception of parental allowance by the parent. The fee for

calendar month shall be paid by 15th day of the following calendar month provided there is no other agreement between the statutory representative and the head of the kindergarten.

The kindergarten head has also the right to decide on reducing monthly payments for socially deprived parents – approximately one half of kindergartens, where fees are usually paid, money are not collected for kindergarten services from certain groups of parents.

Care in parent centres is often provided as an occasional short-term care either free of charge (if it is provided on volunteer basis by particular mothers) or for a symbolic fee. About 20 % of these centres work on commercial basis.

Private agencies providing childcare are usually used by high income and career-oriented families. Such kind of child care costs CZK 70 – 150 per hour (except Prague) and CZK 130 – 150 per hour in Prague.

Childcare fees are not tax deductible and their amount is not taken into regard in the social assistance system.

Costs expended on running the kindergarten founded by an enterprise under the Education law as a service for its employees, are tax deductible (Act No. 193/2008 Coll., section 24, para. 2, letter j, item 3). In case the employer pays to employees regular wage or salary and in addition pecuniary consideration as a reimbursement for kindergarten expenditures (the kindergarten must be provided by other subject), this allowance is tax deductible only if this privilege is founded in employment contract, collective agreement or internal rules of procedure (Act No. 193/2008 Coll., section 24, para. 2, letter j, item 5). Considering non-monetary gains as a reimbursement for kindergarten expenditures, employees are exempt from income tax (Act. No 193/2008 Coll, section 6, para. 9, letter d), only when the employer provides them from a social and cultural needs fund, from a social fund, from after-tax profit (income) or to the debit of expenses (costs) that are not expenses (costs) to reach, secure and maintain income.

Part-time childcare

N/A.

7.2 Child-care benefits for formal centre-based care

The parental allowance.

7.2.1 Conditions for receipt

The parent is entitled to the parental allowance if he/she personally provides full-time and regular care for the child who is the youngest child in the family.

There are certain exceptions concerning disabled children or disabled parents, while receiving parental allowance it is possible to place the child under two years of age into a pre-school care facility for a limited period only. The condition of personal all day care is considered fulfilled if a child under two years of age attends a crèche or any other institution for less than 46 hours in a month. Children over two years can attend child care facilities without any restriction.

Parental allowance is also provided to parent who has income from gainful activity. But together with a condition of limited placement of a child under two years in a crèche or a kindergarten the other condition has to be met: during the gainful activity of a parent, care of a child has to be ensured by another adult person.

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

Parental allowance is provided until the total amount of 220,000 CZK is drawn, the maximum length is up to 4 years of child's age.

A parent may select the amount of parental allowance and thus the period of its drawing under the condition that at least one parent in a family is a person participating in sickness insurance. The calculation of monthly amount of parental allowance is based on daily assessment base for determination of maternity benefit or sickness benefit related to child's confinement or adoption according to the act on sickness insurance. If 70 % of 30 multiple of daily assessment base is under or equal to CZK 7 600, the amount of parental allowance can get to CZK 7 600 at the most; if 70 % of 30 multiple of daily assessment base is higher than CZK 7 600, the maximum amount of parental allowance is limited by this figure; the amount of parental allowance can be up to CZK 11 500. When the daily assessment base can be determined for both parents, the higher one is used for calculation. Choice of the amount of parental allowance can be changed once in 3 month.

In the case that the daily assessment base cannot be set for any parent, parental allowance is paid at fixed monthly amounts of CZK 7 600 until the child reaches 10 months and after it at the amount of CZK 3 800 until the child is 48 months old.

7.2.2.2 *Income and earnings disregards*

The parent's income is not tested while receiving parental allowance.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Parental allowance can be received at the same time as in-work earning (see above), unemployment benefits, benefits of assistance in material need or benefits for disabled.

7.2.4 *Treatment of particular groups*

None.

7.3 Child care allowance for children not using child care centres

The same eligibility conditions, benefit amounts and treatment apply for parental allowance related to children not using child care centres.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

In the Czech Republic, there is neither specific social benefit taking into account situation of lone parents nor social benefit acting as a substitute for alimony/maintenance in cases when the absent parent does not pay any child support.

From the social and legal protection of children point of view: parents are provided with, or arrange for them to have, counselling while exercising the rights of the child to maintenance, at their request. Social-legal protection authorities may file court petitions for the performance of maintenance obligations.

Alimony/maintenance payments from the absent parent are taken into account for decisions on entitlement both to family benefits and social assistance. Received alimony/maintenance payments are included in the decisive income of the lone parent family for income-tested state social support benefits/family benefits (child allowance, birth grant, housing allowance) as well as for means-tested social assistance benefits /benefits of assistance in material need (allowance for living, supplement for housing). This method of income calculation has remained unchanged since the introduction of OECD tax-benefit models; the same approach was used also in the former system of social assistance.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits (per year)

- Credit of CZK 24 840 per taxpayer.
- Credit of CZK 24 840 per spouse (husband or wife) living with a taxpayer in one household provided that the spouse's own income does not exceed CZK 68 000 in the taxable period.
- *Credit for children:* Payable tax credit of CZK 13 404 (irrespective of the child's own income) if the child satisfies one or more of the following criteria:
 - age below 18
 - age below 26 and receiving full-time education
 - age below 26 and physically or mentally disabled provided that the child is not in receipt of a state disability pension payment.

The taxpayer can claim the tax credit in the form of tax reliefs or tax bonuses or their combination. In 2013, the taxpayer is entitled to a tax credit for a dependent child in the amount of CZK 13404 per child per year (or CZK 1117 per child per month). If the child is severely disabled, the tax credit doubles. Should more taxpayers maintain a child in one household, only one of them may apply tax credit in a taxable period or in in the same calendar month of a taxable period. The maximum amount of tax credits which the taxpayer may claim as tax relief is given by his/her tax liability. Tax bonus represents the balance between tax credit and tax relief. The total amount of tax bonus for one family must be no more than CZK 60300 per annum in 2013.

10.1.2 The definition of taxable income

10.1.3 The tax schedule

From January 2008, a progressive system of taxation is replaced by a single rate of 15%, levied on gross earnings augmented with employer social security contributions.

10.2 Treatment of family income

The tax unit is the individual. The possibility of joint taxation, which was introduced in 2005, has been abolished since 2008.

10.3 Social security contribution schedule

Compulsory contributions of 11.0 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows (in %):

Contributions	Percentage of gross earnings		
	Employees	Employers	Total
Health insurance	4.50	9.00	13.50
Social insurance			
Sickness	0.00	2.30	2.30
Pension	6.50	21.50	28.00
State employment policy	0.00	1.20	1.20
Total	11.00	34.00	45.00

The total contribution for employers is 34 per cent of gross earnings.

The contribution consists of the health insurance contribution (9 per cent of gross wages and salaries) and social insurance (25 per cent).

The maximum annual earnings used to calculate social security contributions and contributions to the state employment policy are 48 times the national average monthly wage (CZK 1,245,216). The maximum ceiling for health insurance has not existed since 2013.

10.4 Treatment of particular group**10.4.1 Young persons****10.4.2 Older workers****10.4.3 Others if applicable****11. Part-time work****11.1 Special benefit rules for part-time work**

None.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes enacted from 1st of July 2013 to 1st of July 2014

In the field of non-contributory social benefits no substantial changes had been implemented. Also in the social contribution scheme had been no changes.

The monthly minimum wage increased from CZK 8000 to CZK 8500 on 1st August 2013.

12.2 Policy changes enacted or announced after 1st of July 2014

In order to promote expansion and diversification of an early childcare and present an affordable and quality early childcare facility, Ministry of Labour and Social Affairs has prepared a legislation concerning a new type of childcare service (the child group) and amendment of legislation on related family-friendly tax measures (together with Ministry of Finance). The Act No. 247/2014 Coll, on Child Group (and amendment to Act No. 586/1992 Coll, on Income Tax, as amended) came into force on January 1st, 2015. The act contains measures supporting reconciliation of work and family life and creating better conditions for employment of parents with small children. It sets providers' obligations, sanitary and operational requirements, educational concept, number of children per one caretaker and institution, qualification requirements for caretakers, etc.

Since January 1st, 2015 a new income tax credit (non-refundable) is introduced for parents-employees. Tax credit in the form of tax relief equals to the amount of annual costs paid by taxpayer to the early childcare facility up to the amount corresponding to the minimum wage (per month). The tax deductible costs of employer newly include operating costs of own early childcare facility or contributions to outsourced childcare facility used by employees' children.

In the area of non-contributory benefits, the new legislation effective since January 1, 2015 extends the claim for the birth grant from the state social support system also to the second live-born child and at the same time income limits are raised. Families are entitled to the birth grant provided the family income in the calendar quarter prior to the birth of the child does not exceed 2.7 times the family's living minimum. The birth grant amounts to CZK 13000 for the first child and CZK 10000 for the second child. Certain changes in assistance in material need are introduced (stricter conditions of eligibility for supplement for housing, more advantages calculation of pensions in income assessment – 20 % of pension disregarded).

The minimum wage increased to CZK 9 200 on 1st January 2015.